



Monopolies and Mergers Act 1965

1965 CHAPTER 50

An Act to make further provision for the constitution and proceedings of the Monopolies Commission, for the matters dealt with by the Monopolies and Restrictive Practices (Inquiry and Control) Act 1948 and related matters and for preventing or remedying mischiefs that may result from mergers of businesses or similar transactions, and for purposes connected therewith.

[5th August 1965]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

The Monopolies Commission

1.—(1) The constitution of the Monopolies Commission, the discharge of its functions and other matters dealt with in Schedule 1 to this Act shall be governed by the provisions there set out, being provisions which reproduce, with the modifications mentioned below, the effect of section 1 of the principal Act and the Monopolies and Restrictive Practices Commission Act 1953, as they would operate if section 28 of the Restrictive Trade Practices Act 1956 had not been passed.

Provisions for enlarging Commission and otherwise expediting its work.

1953 c. 51.

1956 c. 68.

(2) The modifications above referred to are modifications for the following purposes:—

- (a) to preserve the name "Monopolies Commission";
- (b) to allow an increase in the maximum number of members;
- (c) to allow for the re-appointment of past or retiring members, without limiting their total term of office;
- (d) to allow for the appointment of additional members for particular references.

(3) A reference of a matter to the Commission under section 2 of the principal Act may (so far as relates to the conditions to be taken into account) be so framed as to exclude from consideration, or to limit consideration to, conditions which prevail or may prevail by virtue of arrangements or practices, or any specified arrangements or practices, falling within section 3(2) or 5(2) or (3) of that Act (which relate to arrangements and practices preventing or restricting competition), whether or not the reference is also so framed as to limit the investigation and report to the facts.

(4) If a person makes default in complying with a notice under section 8(3) of the principal Act (under which the Commission may require the attendance of witnesses or production of documents etc.) the court may, on the application of the Board of Trade, make such order as the court thinks fit for requiring the default to be made good; and any such order may provide that all the costs of and incidental to the application shall be borne by the person in default or by any officers of a company or other association who are responsible for its default.

Amendments relating to monopoly situations

Extension of
principal Act
in relation to
supply of
services.

2.—(1) Section 2(1)(b) of the principal Act (which authorises references to the Commission about the application of any process to goods of any description) shall extend also to the supply of services of any other description; and for this purpose “the supply of services” shall include the undertaking and performance by way of business of engagements for any matter other than the supply of goods and shall include both the rendering of services to order and the provision of services by making them available to potential users, but shall not include the rendering of services under a contract of service.

(2) Accordingly in the provisions of the principal Act other than the said section 2(1)(b) and sections 3 to 5 (which define, in relation to the several types of reference to the Commission, the conditions to which the Act applies)—

(a) for any reference to the application of a process to goods of any description there shall be substituted a reference to the supply of services of any description; and

(b) the expression “goods”, where it is used of the goods to which a reference or potential reference to the Commission relates or might relate, shall include services.

(3) Section 4 of the principal Act shall cease to have effect, and for the purposes of that Act conditions to which that Act applies shall be deemed to prevail as respects the supply of services of any description if either—

(a) the supply of services of that description in the United Kingdom or any substantial part thereof is, to the

extent of at least one-third, by or for any one person, or by or for any two or more persons being interconnected bodies corporate, or by or for any such two or more persons as are described in subsection (4) below ; or

- (b) any agreements or arrangements (whether legally enforceable or not) are in operation the result of which is that, in the United Kingdom or any substantial part thereof, services of that description are not supplied at all ;

and accordingly section 20(3) of the principal Act (which gives the Board of Trade and the Commission a discretion as to the criteria to be applied in estimating quantities of goods supplied, processed or produced) shall have effect in relation to services supplied as it has effect in relation to goods supplied.

(4) The two or more persons referred to in subsection (3)(a) above are any two or more persons who, whether voluntarily or not, and whether by agreement or arrangement or not, so conduct their respective affairs as in any way to prevent or restrict competition in connection with the supply of services of the description in question (whether or not they themselves are affected by the competition and whether the competition is between persons interested as persons by whom, or as persons for whom, services are supplied):

Provided that, in considering whether or not any two or more persons so conduct their affairs as aforesaid, practices as to the workers to be employed or not to be employed by them or as to the remuneration, conditions of employment, hours of work or working conditions of workers, or any class of workers, so employed shall be left out of account.

(5) For purposes of this section—

- (a) services may, in such cases and to such extent as the Board of Trade or the Commission think appropriate in the circumstances, be treated as supplied at any place at which the person supplying them has a place of business, or from which the relevant activities are controlled, or in which the body corporate supplying them is incorporated, and may be so treated whether or not they would otherwise be regarded as supplied in the United Kingdom ; and
- (b) section 3(3) of the principal Act (which enables different forms of supply of goods to be considered separately or in separate groups) shall have effect in relation to services and to subsections (3) and (4) above as it has effect in relation to goods and to subsections (1) and (2) of that section ; and

- (c) section 1(3) of this Act shall have effect in relation to subsection (4) above as it has effect in relation to section 3(2) of the principal Act.

Powers of Board of Trade in relation to monopoly situations.

3.—(1) In the circumstances described in section 10(1) of the principal Act as amended by the next following subsection, the Board of Trade, for the purpose of remedying or preventing any mischiefs which in their opinion result or may be expected to result from the conditions or things which, according to the report of the Commission as laid before Parliament, operate or may be expected to operate against the public interest, may by order (whatever the recommendation, if any, made by the Commission) exercise all or any of the powers conferred by subsections (3) to (7) below.

The powers exercisable by the Board of Trade under this section shall, with the exception of those conferred by subsections (6) and (7), be exercisable notwithstanding that the Commission's report was made before the commencement of this Act, and shall replace the powers exercisable by competent authorities (including the Board) under section 10(2) of the principal Act; and accordingly, for any reference elsewhere in the principal Act to a competent authority, there shall (except as respects things done before the commencement of this Act) be substituted a reference to the Board, and sections 10(3) to (6) and 11 of the principal Act (which contain general provisions about the contents, amendment and enforcement of orders under section 10) shall apply as well to orders under this section.

(2) Section 10(1)(e)(ii) of the principal Act (which enables orders under section 10 to be made on the authority of a resolution of the Commons House of Parliament) shall cease to have effect.

(3) The Board may do all or any of the following things (formerly authorised by section 10(2)(a), (b), (c) and (e) of the principal Act) that is to say—

- (a) declare it to be unlawful, except to such extent and in such circumstances as may be provided by or under the order, to make or to carry out any such agreements or arrangements as may be specified or described in the order, but not including any agreement which, if in force, would be an agreement to which Part I of the Restrictive Trade Practices Act 1956 applies;
- (b) require any party to any such agreement or arrangements as may be so specified or described, except any agreement to which the said Part I applies, to determine the agreement or arrangements within such time as may be so specified, either wholly or to such extent as may be so specified;

(c) declare it to be unlawful, except to such extent and in such circumstances as may be provided by or under the order, to withhold or agree to withhold or threaten to withhold, or to procure others to withhold or agree to withhold or threaten to withhold, from any such persons as may be so specified or described, any supplies or services so specified or described or any orders for any such supplies or services (whether the withholding is absolute or is to be effectual only in particular circumstances);

(d) declare it to be unlawful, except to such extent and in such circumstances as may be provided by or under the order, to require, as a condition of the supplying of goods or services to any person, the buying of goods or making of any payment in respect of services other than the goods or services supplied, or the doing of any other such matter as may be specified or described in the order.

(4) The Board may—

(a) declare it to be unlawful, except to such extent and in such circumstances as may be provided by or under the order,—

(i) to discriminate in any manner specified or described in the order between any persons in the prices charged for goods or services so specified or described, or to do anything so specified or described which appears to the Board to amount to such discrimination, or to procure others to do any of the things above mentioned;

(ii) to give or agree to give in other ways any such preference as respects the supply of goods or services, or the giving of orders for goods or services, as may be so specified or described, or to do anything so specified or described which appears to the Board to amount to giving such a preference, or to procure others to do any of the things above mentioned;

(iii) to charge for goods or services supplied prices different from those in any published list or notification, or to do anything so specified or described which appears to the Board to amount to charging such prices;

(b) require a person supplying goods or services to publish a list of or otherwise notify prices, with or without such further information as may be so specified or described;

- (c) regulate to such extent and in such circumstances as may be provided by or under the order the prices to be charged for any goods or services so specified or described,

but the Board shall not, in relation to goods or services of any class to which the report relates, exercise the power conferred by virtue of paragraph (c) above unless it appears to the Board on the facts found by the Commission as stated in the report that prices charged in the case of goods or services of that class are, or have been, such as to operate, or to be expected to operate, against the public interest.

(5) The Board may prohibit or restrict the acquisition by any person of the whole or part of the undertaking or assets of another person's trade or business, or the doing of anything which will or may result in any bodies corporate becoming interconnected bodies corporate, or may require that, if such an acquisition is made or anything is done which has that result, the persons concerned or any of them shall thereafter observe any prohibitions or restrictions imposed by or under the order.

(6) The Board may provide for the division of any trade or business by the sale of any part of the undertaking or assets or otherwise (for which purpose all the activities carried on by way of trade or business by any one person or by any two or more interconnected bodies corporate may be treated as a single trade or business), or for the division of any group of interconnected bodies corporate, and for all such matters as may be necessary to effect or take account of the division, including—

- (a) the transfer or vesting of property, rights, liabilities or obligations ;
- (b) the adjustment of contracts, whether by the discharge or reduction of any liability or obligation or otherwise ;
- (c) the creation, allotment, surrender or cancellation of any shares, stock or securities ;
- (d) the formation or winding-up of a company or other association, corporate or unincorporated, or the amendment of the memorandum and articles or other instruments regulating any company or association ;
- (e) the extent to which, and the circumstances in which, provisions of the order affecting a company or association in its share capital, constitution or other matters may be altered by the company or association, and the registration under any enactment (including an enactment of the Parliament of Northern Ireland) of the order by companies or associations so affected ;
- (f) the continuation with any necessary change of parties of any legal proceedings.

(7) Where the Board make an order for any purpose mentioned in subsection (6) above, or have the making of such an order under consideration, the Board, with a view to the achievement of that purpose, may prohibit or restrict the doing of things that might impede the operation or making of the order, and may impose on any person concerned obligations as to the carrying on of any activities or the safeguarding of any assets, or provide for the carrying on or safeguarding thereof either by the appointment of a person to conduct or supervise the conduct of any activities (on such terms and with such powers as may be specified or described in the order) or in any other manner.

(8) For the purpose of obtaining information on which to exercise in relation to a company or association any powers conferred by this section, or to determine whether the powers should be so exercised, the Board of Trade may appoint an inspector to investigate and report on any matters (to be specified or described in the appointment) which may in the case of a company registered under the Companies Act 1948 be investigated under section 165 or 172 of that Act; and for purposes connected with an investigation made in relation to any company or association by an inspector appointed under this section, sections 166, 167 and 175 of that Act (which contain supplementary provisions for making an investigation effective etc.) and, where material, the adaptations of those sections made by section 172(5)(a) shall (throughout the United Kingdom) apply as they apply for the like purposes in relation to an investigation under section 165 or 172 of that Act. 1948 c. 38.

(9) Any order under this section may authorise the Board of Trade to give directions to a person specified in the directions, or to the holder for the time being of an office so specified in any company or other association, being directions—

- (a) to take such steps within his competence as may be specified or described in the directions for the purpose of carrying out or securing compliance with the order ;
or
- (b) to do or refrain from doing anything so specified or described which he might be required to do or refrain from doing by an order under this section ;

and to vary or revoke any direction so given.

(10) If any person makes default in complying with a direction given by the Board of Trade under any provision authorised by subsection (9) above, then (without prejudice to section 11 of the principal Act) the court may, on the application of the Board, make an order requiring him to make good the default within a time specified in the order or, if the direction related to anything to be done in the management or administration of a company

or other association or its affairs, requiring the company or association or any officer of it so to do; and any such order may provide that all the costs of and incidental to the application shall be borne by any person in default or by any officers of a company or association who are responsible for its default.

(11) Orders under this section shall be made by statutory instrument; and—

- (a) no such order containing, amending or revoking provisions made for any purpose mentioned in subsection (6) above shall be made unless a draft of the order has been laid before each House of Parliament and approved by resolution of each House, and the provisions of Schedule 2 to this Act shall have effect with respect to the procedure to be followed before laying a draft of such an order; and
- (b) where an order is made under this section without a draft having been so approved, the statutory instrument shall be laid before Parliament after being made, and if the order is not approved by resolution of each House within the twenty-eight days beginning with that on which it is made, the order shall cease to have effect (but without prejudice to anything previously done thereunder).

In reckoning any period of twenty-eight days under paragraph (b) above, no account shall be taken of any time during which Parliament is dissolved or prorogued, or during which both Houses are adjourned for more than four days.

(12) Nothing in this section or in the repeals made by this Act shall affect the power to make orders under section 10 of the principal Act in any case falling within section 30(4)(b) of the Restrictive Trade Practices Act 1956 (which provides for the enforcement of undertakings and assurances given before the commencement of that Act), nor affect the operation of the principal Act in relation to orders so made.

1956 c. 68.

Powers
exercisable to
honour treaty
obligations.

4.—(1) Where the Commission make a report to the Board of Trade on any matter referred to them, and, on the facts found by the Commission as stated in their report and any other facts appearing to the Board of Trade to be material, the Board are satisfied, as regards any matter dealt with by the report, that there has been or is likely to be a breach of or conflict with a treaty, then, for the purpose of remedying or preventing that breach or conflict, the Board may by order exercise all or any of the powers conferred by section 3(3) and (4) of this Act.

(2) Section 3(9) and (10) of this Act shall apply in relation to orders under this section as they apply in relation to orders under section 3.

(3) The power to make orders under this section shall be exercisable by statutory instrument, which shall be laid before Parliament after being made, and, if the order is not approved by resolution of each House of Parliament within the twenty-eight days beginning with that on which it is made, the order shall cease to have effect (but without prejudice to anything previously done thereunder).

In reckoning any such period of twenty-eight days, no account shall be taken of any time during which Parliament is dissolved or prorogued, or during which both Houses are adjourned for more than four days.

(4) In this section "treaty" means any agreement with a country outside the United Kingdom or the government of such a country, or with any international organisation or authority, being an agreement binding on Her Majesty's Government in the United Kingdom.

5.—(1) The Board of Trade may at any time require the Commission to submit to them a report—

- (a) on the general effect on the public interest either of practices of a specified class which in the opinion of the Board are commonly adopted as a result of, or for the purpose of preserving, conditions to which the principal Act applies, or of any specified practices which appear to the Board to have the effect of preventing, restricting or distorting competition in connection with the production or supply of goods, the supply of services or the export of goods from the United Kingdom; or
- (b) on the desirability of action of any specified description as a means of remedying or preventing mischiefs which result or might result from conditions to which the principal Act applies or from practices such as are mentioned in paragraph (a) above.

(2) The Commission shall not be required under this section to make a report on agreements to which Part I of the Restrictive Trade Practices Act 1956 applies; but the provisions of this section shall be without prejudice to the generality of the powers and duties conferred and imposed on the Board of Trade and the Commission by any other provision of the principal Act or this Act, except that section 15 of the principal Act (which confers powers comprised in the powers under this section) shall cease to have effect.

New powers in relation to mergers

6.—(1) Where it appears to the Board of Trade that it is or may be the fact that—

- (a) two or more enterprises, one at least carried on in the United Kingdom or by or under the control of a body

Extension of power to require general reports from Commission.

1956 c. 68.

General provisions about mergers.

corporate incorporated in the United Kingdom, have, not earlier than six months previously, ceased to be distinct enterprises ; and

(b) either—

(i) as a result, the following conditions prevail, or do so to a greater extent, as respects the supply of goods or services of any description, that is to say, as respects the supply of goods of any description, at least one-third of the goods of that description which are supplied in the United Kingdom or any substantial part thereof are supplied by or to any one person, or by or to the persons by whom the enterprises (so far as they continue to be carried on) are carried on, or, as respects the supply of services of any description, the supply of services of that description in the United Kingdom or any substantial part thereof is, to the extent of at least one-third, by or for any one person, or by or for the persons by whom the enterprises (so far as they continue to be carried on) are carried on ; or

(ii) the value of the assets taken over exceeds five million pounds ;

the Board of Trade may, if they think fit, refer the matter to the Commission for investigation and report and, if they do so, shall publish the reference in such manner as they think most suitable for bringing it to the notice of the persons affected :

Provided that paragraph (b)(i) above shall not apply where the prevalence of the conditions in question is expressly authorised by or under any enactment, other than the enactments relating to patents and trade marks.

(2) On a reference under this section the Commission shall investigate and report on the facts, that is to say (subject to subsection (4) below) on the question whether subsection (1)(a) and (b) above are satisfied ; and if the Commission find they are satisfied, the Commission shall also investigate and report whether the fact of the enterprises having ceased, in the circumstances of the case, to be distinct enterprises operates or may be expected to operate against the public interest ; and if the Commission so find, the Commission shall consider whether any and if so what action (whether under this Act or otherwise and whether by a Minister of the Crown, Government department or other authority or by the parties concerned themselves) should be taken to remedy or prevent any mischiefs which result or may be expected to result, and may, if they think fit, include recommendations as to such action in their report.

(3) The Board of Trade may by order made by statutory instrument provide that the value mentioned in subsection (1)(b)(ii) above shall be varied, or, if a previous order has been made under this subsection, further varied, by such amount as may be specified in the order, but, where an order under this subsection is made after the reference of a matter to the Commission, then, in the case of that reference, in determining under subsection (2) above whether subsection (1)(b) above is satisfied, the variation made by the order shall be disregarded.

A statutory instrument containing an order under this subsection shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(4) A reference under this section may (so far as relates to the investigation and report on the facts) be so framed as to exclude from consideration either sub-paragraph (i) or sub-paragraph (ii) of subsection (1)(b) above, or to exclude it from consideration if the Commission find the other satisfied; and as regards sub-paragraph (b)(i) the reference may be so framed as to require the Commission to confine their investigation to the supply of goods or services in a specified part of the United Kingdom.

(5) In relation to references under this section, sections 3(3), 7 to 9, 12 and 20(3) of the principal Act as modified by the foregoing provisions of this Act shall apply, with the following modifications :—

- (a) section 7(2) (recommendations for remedial action) shall not apply;
- (b) in section 8(4) proviso (which restricts the power of the Commission to pay the expense of furnishing them with certain documents and information) for the reference to conditions to which the principal Act applies not prevailing there shall be substituted a reference to subsection (1)(a) and (b) above not being satisfied; and
- (c) in section 9 (which exempts from the obligation thereby imposed on the Board of Trade to lay a report of the Commission before Parliament a case where the reference was so framed as to limit the investigation and report to the facts) for the exemption of that case there shall be substituted the exemption of a case where the Commission find that subsection (1)(a) and (b) above are not satisfied.

(6) Where a reference is made to the Commission under this section, it shall be the duty of the Commission to make their report on the matter referred within such period, not exceeding six months, from the date on which the reference is

made as may be specified by the Board of Trade in the reference or within such further time, not exceeding three months, as the Board of Trade may allow; but the Board shall not extend the time beyond the period specified in the reference except on representations made to them by the Commission and on being satisfied that there are special reasons why the report cannot be made within the period so specified, and if a report is made after the time allowed by this subsection, it shall not be published and no further proceedings shall be taken on it.

(7) Where it appears to the Board of Trade that it is or may be the fact that arrangements are in progress or contemplation which, if carried into effect, will result in subsection (1)(a) and (b) above being satisfied, the Board may refer the matter to the Commission, and the Commission shall proceed accordingly in relation to the prospective and (if events so require) the actual results of the arrangements proposed or made as they might proceed in relation to the results of arrangements made immediately before the reference:

Provided that if it appears to the Commission in the course of their investigation that the making of any such arrangements has been abandoned, they shall, if the Board of Trade consent, lay the reference aside, but furnish the Board with such information as the Board may require as to the results till then of the investigation.

(8) In determining whether to refer a matter to the Commission under this section, the Board shall have regard, with a view to the prevention or removal of uncertainty, to the need for making a determination as soon as is reasonably practicable.

(9) Where it appears to the Board of Trade that it is or may be the fact that two or more enterprises have ceased to be distinct enterprises more than six months previously, but done so under or in consequence of arrangements or transactions entered into without prior notice being given to the Board of the material facts about the proposed arrangements or transactions and without those facts being so published as to be generally known or readily ascertainable, then subsection (1)(a) above shall apply with the substitution of the condition that the Board had notice of those facts or the facts were so published not earlier than six months previously for the condition that the enterprises ceased to be distinct enterprises not earlier than that time.

(10) Where according to a report of the Commission under this section as laid before Parliament actual or prospective results of the facts found by the Commission operate or may be expected to operate against the public interest, section 3 of this Act shall apply as it applies in the circumstances described in section 10(1) of the principal Act.

(11) Where a reference is made to the Commission under this section, the Board of Trade, with a view to preventing action which may prejudice the reference or may impede the taking, under section 3 of this Act as applied by subsection (10) above, of any remedial action which may be warranted by the Commission's report, may exercise any powers conferred by section 3(5) or (7) of this Act as if the Commission had reported as mentioned in subsection (10) above and the Board of Trade had under consideration the making of an order under section 3(6).

(12) Section 3(11)(b) of this Act shall not apply to an order made by virtue of subsection (11) above; and any such order—

- (a) shall be subject to annulment in pursuance of a resolution of either House of Parliament; and
- (b) shall cease to have effect (but without prejudice to anything previously done thereunder) forty days after the Commission's report is laid before Parliament, in so far as the order then remains in force and has not been continued by a further order made under section 3 of this Act, or at the expiration of the time allowed for the Commission to make their report without their having made it.

(13) This section shall apply in relation to enterprises ceasing to be distinct enterprises before, as well as after, the commencement of this Act; but the Board of Trade shall not refer to the Commission under this section the case of any enterprises ceasing to be distinct enterprises where it appears to the Board that their doing so is the result of an agreement entered into before the 3rd March 1965, or entered into by the acceptance on or after that date of an offer made before that date, or is the result of the exercise of rights conferred by such an agreement, and subsection (1)(a) above shall not be treated as satisfied in relation to enterprises ceasing to be distinct enterprises in those circumstances.

7.—(1) Section 6 of this Act shall be construed and have effect subject to and in accordance with the provisions of this section.

Application
of general
provisions
about mergers.

(2) For purposes of section 6 "enterprise" means the activities or any part of the activities of a trade or business; and two enterprises are to be treated as ceasing to be distinct enterprises if at any time they are brought under common ownership or control (whether or not the trade or business to which either of them formerly belonged continues to be carried on under the same or different ownership or control) or if either enterprise ceases to be carried on at all and does so under or in consequence of any arrangements or transaction entered into to prevent or restrict competition between the enterprises.

(3) For purposes of subsection (2) above the following enterprises shall be treated as carried on under common control

(without prejudice to the generality of that expression) that is to say,—

- (a) the enterprises of interconnected bodies corporate ;
- (b) the enterprises carried on by any two or more bodies corporate of which the same person or group of persons has control ;
- (c) any enterprise carried on by a body corporate and any enterprise carried on by a person or group of persons having control of that body corporate.

(4) Section 3 of this Act, as applied by section 6, shall have effect as if, in subsection (5), the reference to bodies corporate becoming interconnected bodies corporate included a reference to enterprises being brought under common control otherwise than by reason of their becoming enterprises of interconnected bodies corporate, and to enterprises ceasing to be carried on as mentioned in subsection (2) above, and, in subsection (6), the reference to the division of a trade or business as therein mentioned included a reference to the separation, by the sale of any part of any undertaking or assets concerned or other means, of enterprises which are under common control otherwise than by reason of their being enterprises of interconnected bodies corporate.

(5) For purposes of section 6 a person or group of persons able, directly or indirectly, to control or materially to influence the policy of a body corporate, or the policy of any person in carrying on an enterprise, may without having a controlling interest in the body corporate or enterprise be treated as having control of it, but so that (if the other circumstances allow) enterprises may be treated as ceasing to be distinct enterprises—

- (a) where a person or group of persons already able to control or materially to influence the policy of a body corporate or of a person carrying on an enterprise acquires a controlling interest in that body or enterprise ; or
- (b) where a person or group of persons already able materially to influence the policy of a body corporate or of such a person becomes able to control that policy.

(6) Subject to subsection (7) below, the time at which any two enterprises cease to be distinct enterprises, where they do so under or in consequence of any arrangements or transaction not having immediate effect, or having immediate effect in part only, shall be taken to be the time when the parties to the arrangements or transaction become bound to such extent as will result, on effect being given to their obligations, in the enterprises ceasing to be distinct enterprises ; and accordingly (but without prejudice to the generality of the foregoing) no account shall

for this purpose be taken of any option or other conditional right until the exercise of the option or satisfaction of the condition.

(7) Where under or in consequence of any arrangements or transaction, or of successive arrangements or transactions between the same parties or interests, any enterprises successively cease to be distinct enterprises, then (subject to section 6(13)) for the purposes of any reference under section 6 any of the enterprises so ceasing within a period not exceeding two years may, if the Board of Trade see fit, be treated as so ceasing simultaneously at the latest date on which any of them do so; and this subsection shall apply also, with the necessary adaptations, for the purposes of section 6(7) in relation to enterprises which will or may cease to be distinct enterprises under or in consequence of arrangements not yet carried into effect or not yet fully carried into effect.

For purposes of this subsection any arrangements or transactions may be treated by the Board of Trade or the Commission as arrangements or transactions between the same interests if it appears appropriate that they should be so treated having regard to the persons who are substantially concerned therein.

(8) For purposes of section 6(1)(b)(ii) the value of the assets taken over is to be determined (subject to subsection (9) below) by taking the total value of the assets employed in or appropriated to the enterprises ceasing to be distinct enterprises, except any enterprise which remains under the same ownership and control or, if none of the enterprises remains under the same ownership and control, then that one of the enterprises having the assets with the highest value; and the value is to be determined by reference to the values at which, on the enterprises ceasing to be distinct enterprises or (if they have not then done so) on the making of the reference to the Commission, the assets stand in the books of the relevant trade or business less any relevant provisions for depreciation, renewals or diminution in value.

For purposes of this subsection any assets of a body corporate which, on a change in the control of the body corporate or any enterprise of it, are dealt with in the same way as assets appropriated to any such enterprise shall be treated as appropriated to that enterprise.

(9) Where the scope of a reference is extended under subsection (7) above, subsection (8) shall apply with such adjustments as appear to the Board of Trade or, as the case may be, the Commission to be appropriate.

(10) In considering for the purposes of section 6(2) above whether the fact of enterprises having ceased to be distinct enterprises operates or may be expected to operate against the

public interest, the Commission shall take into account all matters which appear in the particular circumstances to be relevant and have regard (amongst other things) to any matters to which the Board may from time to time direct them to have regard; and the Board shall publish any direction under this subsection in such manner as they think fit.

**Newspaper
mergers.**

8.—(1) A transfer of a newspaper or of newspaper assets to a newspaper proprietor whose newspapers have an average circulation per day of publication amounting, with that of the newspaper concerned, to five hundred thousand or more copies shall be unlawful and void, unless the transfer is made with written consent given (conditionally or unconditionally) by the Board of Trade after the Board have received a report on the matter from the Commission:

Provided that (without prejudice to section 6 of this Act)—

(a) if the Board of Trade are satisfied, by such evidence as they may require, that the newspaper concerned is not economic as a going concern and as a separate newspaper, consent may be given under this section, without a report from the Commission being required, if the Board are also so satisfied either—

(i) that the newspaper is not intended to continue as a separate newspaper; or

(ii) that, if it is so to continue, the case is one of urgency;

and consent shall be so given, and be given unconditionally, in the case of the newspaper not being intended to continue;

(b) if the Board of Trade are satisfied by such evidence as aforesaid that the newspaper concerned has an average circulation per day of publication of not more than twenty-five thousand copies, consent may be given under this section without a report from the Commission being required.

For purposes of this section “newspaper” means a daily, Sunday or local (other than daily or Sunday) newspaper circulating wholly or mainly in the United Kingdom or any part thereof.

(2) The Board of Trade may by order made by statutory instrument provide that any amount of circulation specified in subsection (1) above shall be varied, or, where a previous order has been made under this subsection, further varied, by such amount as may be specified in the order; and a statutory instrument containing an order under this subsection shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(3) Where the Board of Trade receive an application for consent to such a transfer (not being an application to which consent is given under, or which is expressed to depend on, the proviso to subsection (1) above), the Board of Trade shall within one month refer the matter to the Commission for investigation and report; and within three months of the matter being referred to them, or within such further time not exceeding three months as the Board of Trade may allow, the Commission shall report whether or not the transfer may be expected to operate against the public interest, taking into account all matters which appear in the particular circumstances to be relevant and having regard (amongst other things) to the need for accurate presentation of news and free expression of opinion.

The Board of Trade shall not extend the time allowed for making the report beyond the three months of the matter being referred, except on representations made by the Commission and on being satisfied that there are special reasons why the report cannot be made within the three months.

(4) On a reference under this section sections 7 to 9 of the principal Act shall apply with the following modifications:—

- (a) section 7(2) shall not apply, but the Commission, if it appears that the transfer in question might operate against the public interest, shall consider whether any and if so what conditions might be attached to any consent to the transfer in order to prevent the mischief and may, if they think fit, include recommendations about that in their report;
- (b) in section 8(4), the proviso (which restricts the power of the Commission to pay the expense of furnishing them with certain documents and information) shall not apply;
- (c) the Board of Trade in laying the Commission's report before Parliament under section 9 shall, if they have consented to the transfer, annex a copy of the consent to the report, and they shall lay before Parliament a copy of any consent given after the report is laid.

(5) Where a transfer of a newspaper or newspaper assets to a person is unlawful under this section unless made with the consent of the Board of Trade, then—

- (a) any person who is knowingly concerned in or privy to any purported transfer thereof without the required consent; or
- (b) if the consent is given subject to any condition, any person who is knowingly concerned in or privy to any breach of the condition;

shall be liable on conviction on indictment to imprisonment for not more than two years or to a fine or to both:

Provided that no proceedings for an offence under this subsection shall in England or Wales be instituted except by or with the consent of the Director of Public Prosecutions, and no such proceedings shall be instituted in Northern Ireland except by or with the consent of the Attorney General for Northern Ireland.

(6) References in this section to a transfer of a newspaper or of newspaper assets apply—

- (a) to any transaction (whether involving a transfer or not) by virtue of which the transferee would become, or would acquire the right to become, a newspaper proprietor in relation to a newspaper; and
- (b) to any transfer of assets necessary to the continuation of a newspaper as a separate newspaper (including goodwill or the right to use the name of the newspaper); and
- (c) to any transfer of plant or premises used in the publication of a newspaper, other than a transfer made without a view to a change in the ownership or control of the newspaper or to its ceasing publication;

and in subsection (1) above, any reference to average circulation per day of publication is a reference, in relation to a newspaper, to such average circulation for the appropriate period ascertained by dividing the number of copies to which the circulation of the newspaper amounts for that period by the number of days on which the newspaper is published during that period, circulation being calculated on the basis of actual sales in the United Kingdom of the newspaper as published on those days; and for the purposes of this subsection “appropriate period” means—

- (i) in a case in which an application for consent is made, the period of six months ending six weeks before the date of the application; or
- (ii) in a case in which a transfer or purported transfer is made without any application for consent, the period of six months ending six weeks before the date of the transfer or purported transfer.

(7) For the purposes of this section—

- (a) “newspaper proprietor” includes, in addition to an actual proprietor of a newspaper, any person having a controlling interest in a body corporate which is a newspaper proprietor, and any body corporate in which a newspaper proprietor has a controlling interest;
- (b) any reference to the newspapers of a newspaper proprietor includes all newspapers in relation to which he is a newspaper proprietor and, in the case of a body

corporate, all newspapers in relation to which a person having a controlling interest in that body is a newspaper proprietor ;

and in this subsection references to a person having a controlling interest in a body corporate, apply (and apply only) where a person can, directly or indirectly, determine the manner in which one quarter of the votes which could be cast at a general meeting of the body are to be cast on matters and in circumstances not of such a description as to bring into play any special voting rights or restrictions on voting rights.

9.—(1) For the following purposes, that is to say—

Associated
persons

- (a) for purposes of the reference in section 3(6) of this Act, as it operates by virtue of section 6(10), to the activities carried on by way of trade or business by any one person ; and
- (b) for the purpose of determining under section 7 of this Act whether two or more enterprises are carried on under common ownership or control ; and
- (c) for the purpose of determining under section 8 of this Act whether a person is a newspaper proprietor or what the circulation of a newspaper proprietor's newspapers amounts to ;

associated persons, and any bodies corporate which they or any of them control, shall (subject to subsection (2) below) be treated as one person.

In this subsection " control " shall be construed in accordance with section 7(5) of this Act, except that for purposes of paragraph (c) it shall mean " have a controlling interest in " (within the meaning of section 8(7) of this Act).

(2) Subsection (1) above shall not apply for any purpose referred to in subsection (1)(b) or (c) so as to exclude from the operation of section 6 or 8 of this Act any case otherwise falling within it ; and where a reference is made to the Commission under section 6 of this Act, then (whether or not it could have been made apart from this section) it may be so framed, or may be so varied, as to exclude from consideration, either altogether or for any specified purpose or to any specified extent, any matter which would not have been taken into account apart from this section.

(3) For purposes of this section the following persons shall be deemed to be associated with one another, that is to say,—

- (a) any individual and that individual's husband or wife and any relative, or husband or wife of a relative, of that individual or of that individual's husband or wife ;

- (b) any person in his capacity of trustee of a settlement and the settlor and any person associated with the settlor ;
- (c) persons carrying on business in partnership and the husband or wife and relatives of any of them ;
- (d) any two or more persons acting together to secure or exercise control of a body corporate or other association, or to secure control of any enterprise or assets.

(4) In subsection (3) above, "relative" means a brother, sister, uncle, aunt, nephew, niece, lineal ancestor or descendant (the stepchild, adopted child or illegitimate child of any person being taken into account as a relative or to trace a relationship in the same way as that person's child) ; and references to a wife or husband shall include a former wife or husband and a reputed wife or husband.

Supplementary

Presentation
of reports of
Commission
to Parliament.

10. If a report of the Commission is, with or without omissions, presented by command of Her Majesty to either House of Parliament otherwise than at or during the time of a sitting of that House, the presentation of the report shall, for the purposes of the principal Act and this Act, be treated as the laying by the Board of Trade of that report before that House.

General
supplementary
provisions.
1948 c. 66.

11.—(1) In this Act "the principal Act" means the Monopolies and Restrictive Practices (Inquiry and Control) Act 1948 and, except in so far as the context otherwise requires, expressions used in this Act and in that have the same meanings in this Act as in that.

(2) In this Act, and for purposes of this Act in the enactments applied by section 3(8) of this Act, "the court" means the High Court in England and Wales, the Court of Session and the High Court in Northern Ireland or a judge thereof.

(3) The following provisions of the principal Act shall have effect in relation to this Act as if that Act included this, namely,—

- (a) section 16 (annual report of the Board of Trade) ;
- (b) section 17 (restrictions on disclosure of information) ;
- (c) section 19(2) (exercise of powers of Board of Trade by President or officers of the Board) ;
- (d) section 21(1) (application to Northern Ireland) ;

but section 21(2) (which provides for the extension of the Act to the Isle of Man and the Channel Islands) shall cease to have effect.

(4) There shall be defrayed out of moneys provided by Parliament any additional expenses incurred by the Board of Trade by virtue of this Act in carrying into effect the principal Act or this Act.

(5) The enactments mentioned in Schedule 3 to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

(6) The repeal by this Act of any enactment by virtue of which references, orders or regulations have been made before the commencement of this Act shall not affect the references, orders or regulations, but they shall continue as if made by virtue of the corresponding provision of this Act.

12. This Act may be cited as the Monopolies and Mergers Act Short title and 1965, and this Act and the principal Act, together with so much citation. of Part III of the Restrictive Trade Practices Act 1956 as 1956 c. 68. amends the principal Act, may be cited together as the Monopolies and Mergers Acts 1948 and 1965.

SCHEDULES

Section 1.

SCHEDULE 1

THE MONOPOLIES COMMISSION

PART I

CONSTITUTION, STAFF AND EXPENSES

1.—(1) For purposes of the principal Act there shall be a Commission, to be called the Monopolies Commission.

(2) There shall be not less than four nor more than twenty-five regular members of the Commission, appointed by the Board of Trade, but the Board may from time to time by order made by statutory instrument increase the maximum number of members to such number as the Board think fit.

(3) Subject to paragraph 2(2) below, a regular member of the Commission shall hold office for the time specified by the Board of Trade in making his appointment, but a retiring or past member shall be eligible for reappointment:

Provided that—

(a) a person shall not be appointed member for a term exceeding seven years (exclusive of any previous service of his on the Commission), nor shall a person's first appointment as a regular member be for a term less than three years; and

(b) if a member becomes, in the opinion of the Board, unfit to continue in office or incapable of performing his duties as a member, the Board shall forthwith declare his office to be vacant and shall notify the fact in such manner as they think fit, and thereupon the office shall become vacant; and

(c) a member may at any time by notice in writing to the Board resign his office.

(4) A statutory instrument made under this paragraph shall be subject to annulment in pursuance of a resolution of either House of Parliament.

2.—(1) There shall be a chairman of the Commission appointed from among the regular members by the Board of Trade, and the Board may appoint not more than three other regular members to be deputy chairmen.

(2) The chairman or a deputy chairman shall not be appointed for a fixed term, nor (whether as such or as a member of the Commission) cease to hold office by the expiration of the term of his appointment as member or be otherwise subject to paragraph 1(3) above; but—

(a) subject to paragraphs (b) and (c) below, the chairman or a deputy chairman shall vacate the office on the completion of the year of service in the course of which he attains the age of seventy years;

(b) the Board of Trade may, by notice in writing given to the chairman or a deputy chairman not less than one month nor more than twelve months before his term of service would otherwise come to an end (whether under paragraph (a) above or, if the term has already

been once or more extended, under the extension), extend his term of service for a further period not exceeding two years ;

- (c) the chairman or a deputy chairman may at any time resign the office by notice in writing to the Board of Trade, and shall be removable by the Board if in the opinion of the Board he becomes incapable of performing his duties in the office or on the ground of misbehaviour.

3. There shall be a secretary of the Commission appointed by the Commission with the approval of the Board of Trade, and such other officers and servants appointed by the Commission as the Commission may with the consent of the Board of Trade and the Treasury determine.

4. The expenses of the Commission to such amount as may be determined by the Board of Trade with the approval of the Treasury (including such salaries and other remuneration paid to, and such contributions under pensions schemes paid in respect of, any of their members, officers or servants as may be so determined) shall be paid out of moneys provided by Parliament.

PART II

PENSION BENEFITS FOR CHAIRMAN AND DEPUTY CHAIRMEN

5.—(1) The Board of Trade may from time to time make to the Treasury, as respects any holder of the office of chairman or deputy chairman of the Commission, a recommendation that the Treasury shall pay to him an annual sum by way of superannuation allowance on his retirement after not less than five years' relevant service:

Provided that no such allowance shall be payable if the person to whom the recommendation relates (hereinafter referred to as "the pensioner") retires before attaining the age of sixty-five years unless the Board are satisfied by means of a medical certificate that at the time of his retirement he was, by reason of infirmity of mind or body, incapable of performing the duties of his office and that the incapacity is likely to be permanent.

(2) The said annual sum shall be a sum not exceeding the proportion of the pensioner's last annual salary which in the following table corresponds with the number of the pensioner's completed years of relevant service.

<i>Years of relevant service</i>	<i>Fraction of salary</i>
5	Ten-fortieths
6	Eleven-fortieths
7	Twelve-fortieths
8	Thirteen-fortieths
9	Fourteen-fortieths
10	Fifteen-fortieths
11	Sixteen-fortieths
12	Seventeen-fortieths
13	Eighteen-fortieths
14	Nineteen-fortieths
15 or more	Twenty-fortieths

SCH. 1

(3) The decision of the Treasury shall be final on any question arising as to—

- (a) the amount of any superannuation allowance under this paragraph ; or
- (b) the reckoning of any service for the purpose of calculating such an allowance.

1950 c. 11.
(14 & 15
Geo. 6.)

6. Sections 2 to 8 of the Administration of Justice (Pensions) Act 1950 (which provide for the payment of lump sums on retirement or death, and of widows' or children's pensions, in the case of persons eligible for pensions for service in any of the capacities listed in Schedule 1 to that Act) shall have effect as if—

- (a) the capacity of chairman and of deputy chairman of the Commission were listed in Schedule 1 to that Act ; and
- (b) in relation to those capacities the expression "relevant service" in the said provisions of the said Act of 1950 had the same meaning as in this Part of this Schedule ;

and section 17 of the said Act of 1950 (which provides that the grant under that Act of a lump sum or a widows' or children's pension conditional on eligibility for a pension requiring the recommendation of a Minister shall require the like recommendation) shall have effect as if the expression "Minister" included the Board of Trade.

7.—(1) In this Part of this Schedule the expression "relevant service" means—

- (a) in relation to the chairman of the Commission, service as chairman or deputy chairman of the Commission or pensionable service in any such other capacity under the Crown as may be prescribed ;
- (b) in relation to a deputy chairman of the Commission, service as deputy chairman of the Commission or pensionable service in any such other capacity under the Crown as may be prescribed.

(2) In this paragraph the expression "pensionable service" means service reckonable for any pension, superannuation or other retiring allowance, or gratuity.

(3) In this paragraph the expression "prescribed" means prescribed by regulations made by the Treasury by statutory instrument subject to annulment in pursuance of a resolution of either House of Parliament ; and regulations under this paragraph—

- (a) may be made generally or subject to specified exceptions or in relation to specified cases or classes of case ;
- (b) may provide that in calculating relevant service either the whole of a person's prescribed service of any description shall be taken into account or such part thereof only as may be determined by or under the regulations ;
- (c) may make different provision for different cases or classes of case.

8. There shall be paid out of moneys provided by Parliament any pension, lump sum or widows' or children's pension payable by virtue of this Part of this Schedule.

PART III

SCH. 1

DISCHARGE OF FUNCTIONS OF COMMISSION AND OF CHAIRMAN

9.—(1) If the chairman so directs, the functions of the Commission in relation to any investigation, so far as not discharged at the time of the direction, shall be discharged through a group of not less than five regular members of the Commission selected by the chairman, or the functions of the Commission in relation to the making of a report required of them under section 5 of this Act shall be discharged through such a group.

(2) Where under section 6(4) of the principal Act any investigation is varied, and before the variation the chairman of the Commission has directed that the functions of the Commission in relation to the investigation shall be discharged through a group of members, those functions shall, as the chairman may direct, be discharged either through that group or another group or by the Commission as a whole.

(3) Where functions of the Commission are by virtue of this paragraph to be discharged through a group of members, anything done by or in relation to the group in or in connection with the discharge of those functions shall have the same effect as if done by or in relation to the Commission:

Provided that, for purposes of section 10(1) of the principal Act, of section 6(10) of this Act and of sections 40 and 43 of the Patents Act 1949 (which authorise the taking of action on certain 1949 c. 87. reports of the Commission), a conclusion contained in a report of the Commission shall be disregarded if the report is made through a group of members and the conclusion is not that of at least two-thirds of the members of the group.

(4) Any such group as aforesaid in determining their procedure and exercising the other powers conferred by section 8 of the principal Act shall be subject to any specific or general directions which may from time to time be given by the Commission, as well as to any general direction of the Board of Trade under subsection (6) of that section.

(5) The chairman of the Commission may appoint one of the members of any such group as aforesaid to act as chairman of the group.

(6) Where during the proceedings of any such group as aforesaid any member of the group appointed under this paragraph ceases to be a member of the Commission, or the chairman of the Commission is satisfied that any such member of the group will be unable for a substantial period to perform his duties as such, the chairman may appoint another member of the Commission to be a member of the group in his place.

(7) Where a person is appointed to be a member of the Commission during the proceedings of any such group as aforesaid, the chairman of the Commission may appoint him to be a member of the group.

SCH. 1

(8) At the invitation of the chairman of any such group as aforesaid a member of the Commission who is not a member of the group may attend meetings or otherwise take part in the proceedings of the group; but no person who is not a member of the group shall be entitled to vote on any matter or question considered by the group or to have any statement of his dissent from a conclusion of the group included in a report made by them.

(9) Nothing in the foregoing provisions of this paragraph shall be taken as preventing any such group as aforesaid, or any member of it, from consulting any other member of the Commission with respect to any matter or question with which the group is concerned.

10.—(1) The quorum necessary for a meeting of the Commission shall be such as the Commission may from time to time determine:

Provided that the quorum necessary at any meeting held for the final settling of a report of the Commission shall not be less than two-thirds of the members of the Commission.

(2) The quorum necessary for a meeting of a group of members of the Commission acting under paragraph 9 above shall be such as the group may from time to time determine.

(3) In the case of an equality of votes on any question at a meeting of the Commission or of any such group as aforesaid the chairman of the Commission or of the group, as the case may be, shall have a second or casting vote.

11.—(1) At any time when the chairman of the Commission is absent or otherwise incapable of acting, or there is a vacancy in the office of chairman,—

(a) such one of the deputy chairmen as the Board of Trade may direct or in default of any such direction such one of them as they may agree; or

(b) if there is then only one deputy chairman of the Commission, the deputy chairman;

may exercise any of the functions of chairman of the Commission.

(2) At any time when every person who is chairman or deputy chairman of the Commission is absent or otherwise incapable of acting, or there is no such person, such member of the Commission as the Board of Trade may direct, or in default of any such direction such member of the Commission as the Commission may agree, may exercise any of the functions of chairman of the Commission.

12.—(1) For a reference under section 8 of this Act the Board of Trade may appoint three, four or five additional members of the Commission, from a panel of persons maintained for this purpose by the Board; and if any functions of the Commission in relation to the reference are discharged through a group of members, any additional members appointed under this provision for the reference shall be members of the group in addition to the members appointed by the chairman of the Commission.

(2) Subject to sub-paragraph (1) above, this Part of this Schedule shall apply for the purposes of any reference to the Commission under this Act, as well as for the purposes of any reference to the Commission under the principal Act.

SCH. 1

SCHEDULE 2

Section 3.

PROCEDURE PRELIMINARY TO LAYING DRAFTS OF ORDERS REFERRED TO IN SECTION 3(11)(a) OF THIS ACT

1. Where the Board of Trade propose to lay before Parliament a draft of an order under section 3 of this Act containing, amending or revoking provisions made for any purpose mentioned in sub-section (6) of that section, they shall cause notice of their intention to do so to be published in the London Gazette, the Edinburgh Gazette and the Belfast Gazette, and in two or more daily newspapers, not being local newspapers, and they shall not lay a draft of the order until the expiration of the period of forty-two days beginning with that on which the publication of the notice in accordance with this paragraph is completed.

2. A notice under the foregoing paragraph shall—

- (a) state that it is proposed to lay a draft of the order before Parliament ;
- (b) indicate the nature of the provisions to be embodied in the order ;
- (c) name a place where a copy of the draft may be seen at all reasonable times ;
- (d) state that any person whose interests are likely to be affected by the order and is desirous of making representations in respect thereof should do so in writing (stating his interest and the grounds on which he wishes to make the representation), before the date of the expiration of the said period of forty-two days (specifying that date).

3. The Board shall consider any representation that is duly made with respect to the draft order and is not withdrawn, and, after the expiration of the said period of forty-two days, may lay the draft order in the form in which it was made available as stated in the notice in compliance with paragraph 2(c) above, or in that form subject to such modifications as appear necessary to the Board to ensure that the rights and interests of persons likely to be affected by the provisions of the order are so adjusted as to secure an equitable distribution of any burden or benefit ensuing from any provision of the order.

Section 11.

SCHEDULE 3

REPEALS

Session and Chapter	Short Title	Extent of Repeal
11 & 12 Geo. 6. c. 66.	The Monopolies and Restrictive Practices (Inquiry and Control) Act 1948.	Section 1. Section 4. In section 10, in paragraph (e) of subsection (1), the word "either" and the words from "or (ii) not earlier than" to the end of the paragraph; and subsections (2) and (7). Section 15. In section 19(1), the words "or any other government department". In section 20(1), the definition of "a competent authority". In section 20(3), the words "subjected to a process" and the words "subjected to the process". Section 21(2).
1 & 2 Eliz. 2. c. 51.	The Monopolies and Restrictive Practices Commission Act 1953.	The whole Act.
4 & 5 Eliz. 2. c. 68.	The Restrictive Trade Practices Act 1956.	Section 28. Section 29(5). Section 30(1).